Empirical Research on China's A-share Market

Market Institutions and the Four Core Datasets

Databases

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Outline

Introduction

China's Market Microstructure

Disclosure Regime and Fundamentals

The Analyst Industry

Information Environment: News and Beyond

Integration and Wrap-up

Why Study China's Market?

- World's second-largest equity market, yet institutionally very different from the US
- Institutional features generate distinctive patterns: extreme retail participation, tight short-sale constraints, heavy state ownership
- Many "anomalies" in US data appear in starker form in China – or do not appear at all
- Four datasets follow one running example: the earnings announcement

The Four Datasets and One Merge Key

Question	Dataset	Key
What happened?	CSMAR TRD (trading)	Stkcd $\times$ Trddt
Firm-level cause?	CSMAR FI (statements)	Stkcd $\times$ Accper
What was expected?	CSMAR FAF/FE (analysts)	record level
How did market learn?	CNRDS CFND (news)	record level

Merge key everywhere: `Stkcd` (keep leading zeros). Details shown live on the CSMAR platform.

Retail Investors Dominate

- Retail investors hold only ∼20–30% of market cap (SSE: 23% in 2023) but drive the lion's share of turnover – 80%+ through 2017, still dominant today
- Consequences documented in the literature:
  - Strong momentum and lottery-type speculation
  - Overpricing of small caps, high idiosyncratic volatility
  - Attention-driven trading: volume spikes on price limits and headlines
- Text and sentiment data (news, forums) matter more here than in institution-dominated markets

T+1 and Short-sale Constraints

- T+1: shares bought today can only be sold next trading day – no intraday round trips
- Short selling was essentially prohibited until margin trading launched in 2010, and remains expensive and restricted
- Asymmetric trading $\rightarrow$ overpricing is easy, correction is slow
- This is the standard explanation for inflated small-cap valuations and bubble persistence

Price Limits: a Unique Laboratory

- 10% main board / 5% ST / 20% ChiNext & STAR / 30% BSE
- Cannot buy at limit-up, cannot sell at limit-down: returns are clamped, not equilibrium prices
- Research uses this as a natural experiment: magnet effect, information revelation during limit hits, overnight vs intraday returns
- Watch for limit-hits inside your event windows – CARs around them are censored

Suspensions and the ST System

- Trading halts were historically long and discretionary – firms could suspend trading for months (2015 crash: half the market halted)
- Suspensions have been tightened since 2018, but historical samples carry many gaps
- ST/*ST risk-warning labels flag firms with abnormal finances; ST stocks trade at 5% limit
- Standard screens: exclude ST/PT periods and suspensions, or model them explicitly

The Split-share Reform (2005–2007)

- Before 2005: roughly two-thirds of shares were non-tradable (held by the state and legal persons)
- Tradable and non-tradable holders had misaligned incentives – the root cause of tunneling and disregard for minority shareholders
- 2005–2007 reform: non-tradable holders paid "consideration" (bonus shares) to make shares tradable, subject to lock-ups
- A structural break in every long price series: use dividend-adjusted (fuquan) series for long windows

Boards and the IPO Regime

- Boards: Main (600/000), ChiNext (300, 2009), STAR (688, 2019), BSE (2021)
- IPO regime evolved: quota approval $\rightarrow$ merit-based approval (hezhunzhi) $\rightarrow$ registration-based (zhucezhi registration system, STAR 2019, ChiNext 2020, market-wide 2023)
- Under approval regimes, IPO supply was rationed $\rightarrow$ chronic IPO underpricing and listing-day spikes
- Regime breaks matter: never pool ChiNext and Main without controls

Trading Data: What TRD Gives You

- Daily panel `Stkcd` $\times$ `Trddt`: prices (adjusted/unadjusted), returns (`Dretwd` vs `Dretnd`), volume, market cap, trading status `Trdsta`, board `Markettype`
- Delisted stocks are kept – no survivorship bias by default (drop-only-if-you-mean-it)
- Typical uses: event studies, factor sorts, market-friction variables (limits, halts)
- Live demo on CSMAR follows

A Disclosure System Built on Deadlines

- Annual reports due April 30; semi-annual August 31; quarterly October 31
- $\rightarrow$ earnings information is staggered: announcement dates (`Annodt`), not report periods (`Accper`), must drive any merge with trading data
- Merging on `Accper` = lookahead bias: you "know" the annual report months early
- This single mistake invalidates more student papers than any other

Unique Feature: Mandatory Earnings Pre-announcements

- yeji yugao (earnings pre-announcement): mandatory when the firm expects a loss, a turnaround, a $\pm 50\%$ change in net profit, or negative net assets – due by January 31
- yeji kuaibao (earnings express report): voluntary early flash report of headline figures
- The market learns earnings *before* the annual report – often months before
- Research design implication: an "earnings announcement event" may be stale; consider the pre-announcement as the real event date

Fundamentals: FI in Context

- Two statements per firm-period: `Typrep` A (consolidated) vs B (parent-only) – default to A, merge with a filter or rows double
- 2007 new accounting standards: breaks in impairment and fair-value items when spanning 2007
- Dual industry codes: CSRC (official) vs Shenwan (vendor) – check before industry fixed effects
- State ownership shapes fundamentals: SOEs dominate, with soft budget constraints and policy lending – many papers control for ownership chains

A Young, Incentivized Analyst Market

- Sell-side research expanded explosively after 2000; coverage is highly skewed toward large caps and SOEs
- The New Fortune Best Analyst ranking (launched 2003; vote suspended 2018, edition interrupted 2024) drove commissions and careers – and documented optimism bias
- Ratings cluster at "buy"; target prices and EPS forecasts drift upward into bull markets
- Analyst forecasts here are as much a marketing product as an information product – treat consensus with care

FAF/FE: Structure and Discipline

- Record level: `Stkcd` $\times$ `Fenddt` (target year) $\times$ `Rptdt` (release date)
- Build: consensus, forecast error (SUE numerator), revisions, coverage
- Point-in-time discipline: only the latest forecast *before* the event
- Interacts with pre-announcements: the profit warning anchors first, analysts revise after

A Layered Media Landscape

- Official/state media (e.g., People's Daily, Xinhua) double as policy signals – a front-page commentary can move the whole market
- Market-oriented financial press (21st Century, Caixin) do investigative and negative coverage
- Self-media and aggregators amplify both
- Media tier is a research variable: sentiment from different tiers carries different information content

CNRDS CFND: News, Quantified

- 400+ online media + 600+ newspapers, tens of millions of items matched to listed firms
- News info table (mentions, originality, sentiment) + daily quantitative statistics
- Variables straight from the stats table: attention (count), sentiment $= (Pos - Neg)/(Pos + Neg)$
- Convention: daily research uses only news released after the previous close

Beyond News: Retail Voices

- guba (GUBA): the dominant retail forum – millions of posts per stock; CNRDS GUBA provides posts and sentiment
- Search index (WSVI): Baidu search volume as attention proxy
- Retail text data fits China's market: with retail dominance, forum sentiment predicts short-term returns and bubbles
- A distinctive research frontier largely invisible in US data

Integration: One Event, Four Datasets

- Earnings announcement: TRD (CAR) + FI (actual EPS) + FAF (consensus $\rightarrow$ SUE) + CFND (attention and sentiment)
- Merge on `Stkcd` + event-aligned dates
- A complete empirical chain: reaction $\rightarrow$ surprise $\rightarrow$ expectations $\rightarrow$ information environment

Institutional Breakpoints to Respect

- 2005–2007 split-share reform; 2007 new GAAP; 2010 margin trading
- 2015 crash and mass suspensions; 2016 circuit breaker (four days)
- 2019–2023 registration-based IPOs and delisting normalization
- Long panels must handle these as regime breaks, not noise

Common Mistakes: Checklist

- Leading zeros dropped from stock codes; Typrep not filtered (rows double)
- Merging on `Accper` instead of `Annodt`
- Keeping only currently listed stocks (survivorship bias returns)
- Limit-hits and suspensions inside event windows left unexamined
- News windows not aligned to trading days; data version unrecorded

Takeaways

- China's market institutions – retail dominance, T+1, price limits, disclosure regime, state ownership – are not noise; they are the research agenda
- Datasets are standardized; dates and regimes are where mistakes live
- Start from an institution, then ask what data answers it

Q&A

Thank you! Questions?